

dancy we state (again) - Bitcoin does not equal blockchain! Bitcoin is one of several cryptocurrencies, and all these cryptocurrencies are basically different implementations of blockchain technology. But Digit readers will know this already! Though we have covered Bitcoin mining before, cryptocurrency does offer a tangible way of explaining the concept so we shall start from there. Besides, that's also how Vitalik Buterin started thinking about Ethereum. So here we go!

Physical notes are not easily duplicated, but when we get to the digital world, things get a lot trickier! An economy is basically a lot of transactions where agents exchange money for goods and services. We're all trying to get

what we want and money is the common medium for value.



At the centre of the revolution

Satoshi Nakamoto's initial motivation described in his paper "Bitcoin: A Peer-to-Peer Electronic Cash System" was for a system that allowed transfer of value between two parties without the need for a middle-man, such as banks. Aside from the unfair advantage that financial institutions possess by being central authorities, it is wasteful

to employ their services for small amounts of money that we often exchange in our day-to-day transactions. When you pay with your card at a shopping mall, or use internet banking on Amazon, the Visa and MasterCard companies of the world take a percentage off of every transaction. This is necessary to prevent malicious activity like double-spending or misrepresentation of services. So how does a cryptocurrency achieve this without a third party? Why, using blockchain technology of course!

Trust

The reason we have third parties and central banks regulating and arbitrating money is that we need some entity to place trust in. We trust our